# WARRANTY ATLAS · Nebraska (NE)

Law last amended: 2026 (eff. 2026-10-01) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-10-12

Cites: Neb. Rev. Stat. § 60-1438(1)-(2) (compensation; labor-rate factors; RO test); Neb. Rev. Stat. § 60-1438(4)-(5) (claims, audits, chargebacks); Neb. Rev. Stat. §§ 60-1440 (damages/equitable relief), 60-1411.02 and 60-1415 (license discipline, fines)

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Factory time (reasonable/adequate standard where stated) | § 60-1438(2)(a) |
| **Mfr-backed service contract** | **Not addressed** | - | § 60-1438(1) |
| **CPO warranty** | **Not addressed** | - | § 60-1438(1) |
| **Independent service contract** | **Not addressed** | - | § 60-1438(1) |

Hourly rate: Principal factor: 'the prevailing wage rates being paid by dealers in the community'. The floor is the dealer's own rates for like service to retail or fleet customers, excluding listed maintenance work. There is no statutory labor-rate declaration formula; the 100 ROs/90 days/180-day method is written for parts markup. The manufacturer may request up to 100 additional ROs from a 90-day window to test the declared 'retail labor rate' and may adjust if the dealer's retail rat…

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: Yes. Must be specifically disapproved in writing within 30 days. Denial is allowed only for a nonwarranty repair, lack of documentation, failure to comply with specific substantive terms of the warranty compensation program, or a bona fide belief based on competen… | Neb. Rev. Stat. § 60-1438(4)-(5) |
| **Payment** | 30 days after approval. Dealer filing deadline: within 6 months after completing the work. After a clerical-error rejection the dealer 'may resubmit a corrected claim in a timely manner'. No denial based solely on an inc… | |
| **Chargebacks** | 12 months; fraud: 4 years after payment if the manufacturer has reasonable cause (a bon…. Chargeback of an audited claim only after the dealer has had notice and an opportunity to participate in all franchisor internal appeal processes and all available legal processes. The 30-day approve-and-pay rule does not bar chargebacks for fraudulent paid c… | Neb. Rev. Stat. § 60-1438(5) |
| **Rate resubmission** | Silent. Sample: No statutory labor-rate sample. Excluded: Routine maintenance, Tires, Other (see text). | Neb. Rev. Stat. § 60-1438(2)(a); RO test (2)(c); negotiated… |
| **Mfr response** | 30 days; no response = approved: no rule in statute. Challenge: The manufacturer may adjust subsequent rates if the dealer's nonwarranty customer rates are 'less than the rates currently being paid' for warranty work (test: whether declared rates are 'materially different') Forum: Complaint to the Nebraska Motor Vehicle Industry Licensing Board (§ 6…. | Neb. Rev. Stat. § 60-1438(2)(c)(i)-(iv), (2)(d) |
| **Penalties** | § 60-1440: damages and equitable relief, including injunctive relief. A dealer that prevails against a manufacturer is awarded reasonable attorney's fees and costs. The court shall award damages for willful or wanton violations and may add costs and fees for continued multiple violations. § 60-1411.02: the Board may deny, revoke or sus… | Neb. Rev. Stat. §§ 60-1411.02, 60-1415, 60-1440 |
| **Audit procedures** | Audit climate score 42/100 (High restrictiveness; chargeback limits 42/75 + process and oversight 0/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: yes; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure. | |

## Statute quotes

***Claims*** *(Neb. Rev. Stat. § 60-1438(4)-(5)): "All claims made by a new motor vehicle dealer pursuant to this section for labor and parts shall be made within six months after completing the work and shall be paid within thirty days after their approval."*

***Chargebacks*** *(Neb. Rev. Stat. § 60-1438(5)): "The manufacturer has the right to audit the claims for one year after payment, except that if the manufacturer has reasonable cause to believe that a claim submitted by a dealer is intentionally false or fraudulent"*

***Rate*** *(Neb. Rev. Stat. § 60-1438(2)(a); RO test (2)(c); negotiated…): "In determining prevailing wage rates, the rate of compensation for labor for that portion of repair orders for all recommended maintenance services shall not be used"*

***Factory time*** *(§ 60-1438(2)(a)): "Time allowances for the diagnosis and performance of warranty work and service shall be adequate for a qualified technician to perform the work or service."*

## Notes

Time allowances must be 'adequate for a qualified technician' (LB 667). The franchisor may not unreasonably deny a documented request to change a uniform time allowance or add time for a specific vehicle. The duties also bind separate warrantors of engines, transmissions and rear axles ((6)). The parts markup may be changed at most twice per calendar year. The statute sets no labor-rate change limit. DATE-SENSITIVE: from 10/1/2026 (LB 972) § 60-1438 no longer applies to recreational vehicles. RV warranty compensation, audits and claims then fall under §§ 60-1460 to 60-1466 of the new RV Act, which this record does not cover.

Source: official · https://nebraskalegislature.gov/laws/statutes.php?statute=60-1438 · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.